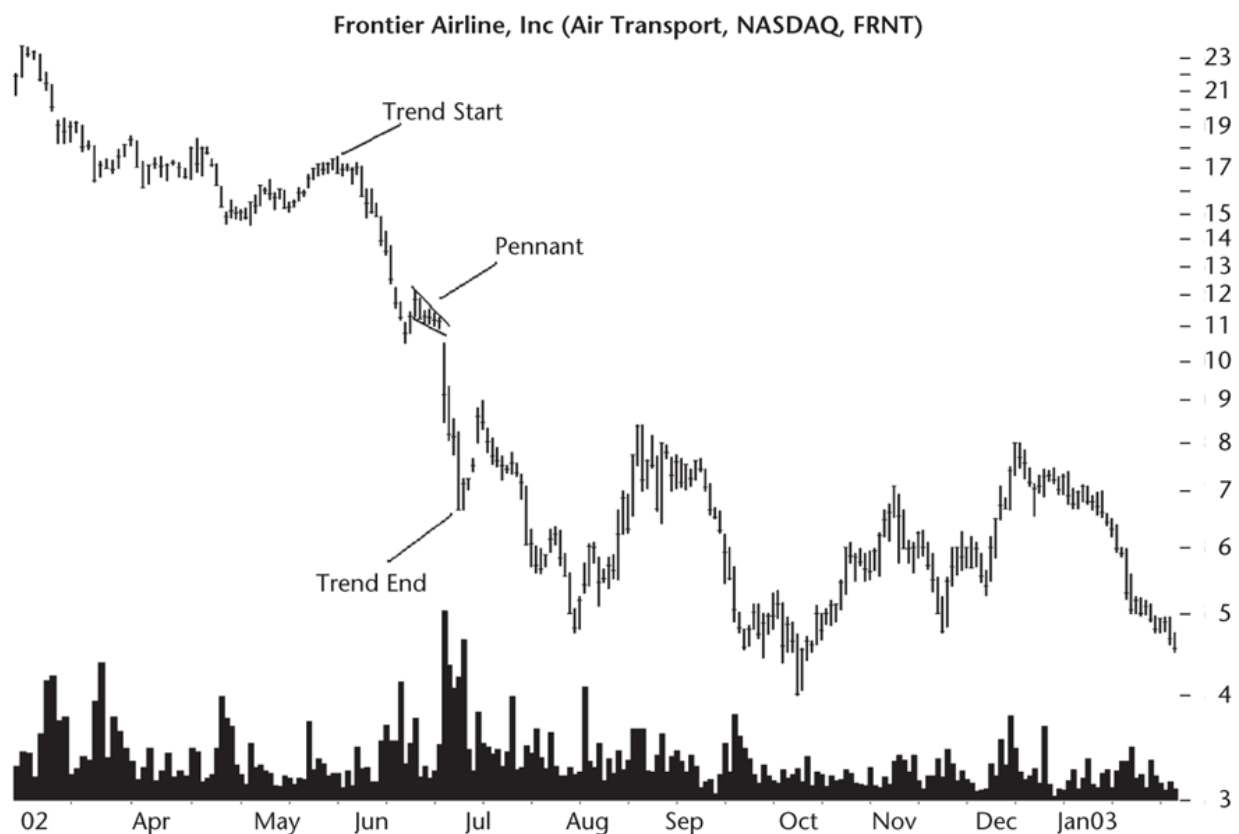


still acts as a continuation of the downward price trend. Notice how the pennant slopes against the 2-day upward rise. After the pattern completes, price gaps down (breakaway gap).

Reviewing the identification guidelines, the pennant pattern is clear in the figure if you know what to look for. Price narrows over time. Notice the steep decline leading to the pattern (the flagpole, starting at about 17) and the slope of the price trend after the breakout—the two are nearly identical. In that regard, pennants function like small measured move (up or down) chart patterns. Volume recedes between the pennant ends.

This is a valid pennant.



**Figure 48.3** The downward price trend overshoots the small pennant on entry. The pattern appears almost midway between the trend start and end.

## Focus on Failures

**Figure 48.4** shows a failure of a pennant in a downtrend. The pennant probably reminds you of a short symmetrical triangle—one that acts as a